

Company Overview

Bajaj Auto, the flagship company of Bajaj Group, is a two-wheeler and three-wheeler manufacturing company that exports to 79 countries across several countries in Latin America, Southeast Asia, and many more. Its headquarter is in Pune, India. It has acquired 48% of the KTM Brand which manufactures sports and super sports two-wheelers, which was 14% in 2007 when the company first acquired KTM. [1]

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	17.2%	26.6%	0.07	174.4	1.14	6486.0
2023	16.6%	20.6%	0.00	204.2	1.04	6488.0
2022	18.6%	20.7%	0.00	881.1	0.94	4473.0
2021	17.5%	17.8%	0.00	929.7	0.83	251.0
2020	17.4%	24.1%	0.01	2313.7	1.13	5616.0
2019	16.2%	21.2%	0.01	1806.5	1.05	2214.0
2018	16.7%	20.7%	0.01	6250.0	1.00	2374.0
2017	18.7%	22.8%	0.01	5897.0	1.01	-343.0
2016	18.0%	29.0%	0.01	5987.0	1.31	3622.0
2015	14.0%	27.3%	0.01	726.0	1.35	1734.0

Bajaj Auto Ltd (BAJAJ-AUTO) - Page 2

Qualitative Investment Insights

Strengths (Pros):

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Risks & Concerns (Cons):

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility